Worse, unsellable houses meant a less mobile workforce, so as jobs also disappeared, millions of people were stranded. It takes a long time to recover from that kind of tragedy.

Money Mistake: You Don't Know If You're Ready to Buy a House

THE FIX: STABILITY IS AS IMPORTANT AS AFFORDABILITY

Banks have their own criteria for mortgage qualification, and they change from bank to bank. But laws governing the banks change, too, and there's been a steady parade of new laws and regulations ever since the housing bubble burst. In the years leading up to 2008, lenders were offering subprime mortgages to unqualified homeowners—people with bad credit and a lack of steady income. This resulted in a catastrophic collapse of the housing market, which caused the financial quagmire we're still digging out of today.

Five years and a $9.7 trillion bailout later, a number of laws have been passed to prevent a future housing crisis. As recently as January 2013, the Consumer Financial Protection Bureau revealed new rules regarding what kind of loans banks can offer and to whom. The Ability-to-Repay and Qualified Mortgage rule protects borrowers from mortgages they can't afford, which in turn protects lenders from being sued for granting mortgages they never should have granted. In a post-housing-bubble industry largely dominated by Fannie Mae, Freddie Mac, and such government agencies as the Federal Housing Administration, the rule is meant to provide the legal framework for private lenders to service mortgages with increased confidence and protection.

The rule creates a new standard mortgage in the United States called a "qualified mortgage." Interest-only loans, loans carrying balloon payments, and loans with terms of more than thirty years will no longer be considered "qualified." And if a would-be borrower's total debts equal or exceed 43 percent of his or her monthly gross income, no mortgage for that person. But astonishingly, the new rules make no mention of down payments. When the FHA continues to